WEALTH IN YOURSELF

The Entrepreneur's Wealth Extraction Roadmap

The financial architecture decisions that determine whether your exit builds generational wealth or just pays the tax bill.

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Most business owners build incredible companies — and then leave millions on the table when it's time to step away. Whether you're five years out or five months, this roadmap covers the decisions that matter most.

Business Valuation

- [ ] **Do you have a current, independent business valuation?** Not a back-of-napkin number. A formal valuation sets the foundation for every exit decision that follows.
- [ ] **Do you understand which valuation method applies?** EBITDA multiples, discounted cash flow, asset-based, comparable transactions — each produces a different number.
- [ ] **Have you identified the 3-5 value drivers a buyer will care about?** Recurring revenue, customer concentration, owner dependency, gross margins, growth trajectory. If more than 30% of revenue comes from your personal relationships, that's a valuation discount to fix.

Entity Structure & Tax Positioning

- [ ] **Is your entity structured to minimize the tax impact of a sale?** The difference between a stock sale and an asset sale can be millions. C-corp vs. S-corp vs. LLC — the structure you chose at founding may not be right for exit.
- [ ] **Have you evaluated QSBS (Section 1202)?** Qualified Small Business Stock can exclude up to $10M in capital gains from federal tax — or $15M for stock issued after July 4, 2025 under the OBBBA expansion, with tiered holding periods. Requirements are specific and most owners learn about it too late.
- [ ] **Are you using an IDGT or estate vehicle to transfer interests?** Transferring business interests at today's valuation — before the exit premium — can save your family millions in estate tax.

Cash Flow & Income Replacement

- [ ] **Do you know your post-exit income need?** What does your life cost per month without the business? Include health insurance, taxes on withdrawals, and a buffer. Most owners overestimate how far proceeds will go.
- [ ] **Have you modeled the after-tax proceeds?** Federal capital gains, state capital gains, depreciation recapture, ordinary income recapture, NIIT — the tax stack on a business sale is complex.
- [ ] **Do you have a wealth management plan for the proceeds?** The day after you sell is the most dangerous day of your financial life. Having an investment policy statement and portfolio strategy before the close is non-negotiable.

Succession & Continuity

- [ ] **Do you have a written succession plan?** If you're hit by a bus tomorrow, who runs the business? Who has the passwords, banking access, vendor relationships?
- [ ] **Have you evaluated internal sale vs. external sale vs. ESOP?** Each has radically different tax implications, timelines, and outcomes. Your financial planner should be modeling all three.
- [ ] **Do you have a buy-sell agreement with your partners?** Without one, your family inherits a legal fight, not a clean exit.

Tax Timing & Strategy

- [ ] **Have you considered an installment sale (Section 453)?** Spreading capital gains recognition over the payment period can keep you in lower tax brackets for years.
- [ ] **Have you explored a Charitable Remainder Trust?** A CRT lets you transfer interests before the sale, receive an income stream for life, get a charitable deduction, and avoid capital gains on the transferred amount.

The Advisory Team

- [ ] **Do you have all four: financial planner, CPA, estate attorney, M&A advisor?** Each handles a different piece. If any one is missing, you have a gap. Coordination is the financial planner's job.
- [ ] **Are all four working from the same playbook — or operating in silos?** If your CPA hasn't spoken to your estate attorney this year, nobody is coordinating your full picture. That's the gap where money falls through.

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Is your exit plan actually built — or just imagined?

Most business owners discover 3–5 structural gaps that would cost them hundreds of thousands at exit. QSBS qualification, entity restructuring, defined benefit plans — these have deadlines that don't wait for you to be ready.

Book a complimentary 15-minute intro call. We'll talk about your timeline, your structure, and whether your current team has the full picture.

Josh St. Laurent, CFP®, CFT™, APFC®, ACC, MS — Founder, Wealth In Yourself

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